institutions like the IMF instead of being conducted on a bilateral basis, so that the multilateral institution bears any (small) credit risk, and the source central bank does not have to justify the arrangements to its political authorities.

Perhaps equally valuable would be a liquidity line from the IMF, where countries are pre-qualified by the IMF and told (perhaps privately) how much of a line they would qualify for under current policy – with the size of the available line revised annually after the IMF's assessment and any curtailment becoming effective six months later so as to give a country time to adjust policies to qualify for higher limits, or to find alternative arrangements. Access to the line would get activated by the IMF Board in a situation of generalized liquidity shortage (as, for example, when policy tightening in source countries after an extended period of low rates causes investment managers to become risk averse). The IMF has suggested such arrangements in a discussion paper, and they should be explored because they allow countries access to liquidity without the stigma of approaching the Fund, and without the conditionality that accompanies most Fund arrangements.

Clearly, the Fund's resources will be safe only if the situation is one of genuine temporary illiquidity rather than one where countries need significant reforms to regain market access. Equally clearly, access will vary across countries, and prolonged use after the liquidity emergency is declared over will necessitate an IMF programme. Nevertheless, the twin proposals of the Global Stability Mechanism and Short-term Liquidity Line that the IMF Board has examined in the past deserve close examination for they come closest to genuinely helping offset reserve build-up.

Finally, it would be a useful exercise for the Fund, in a period of growing vulnerability to capital flow reversals, to identify those